

## OIL TRADE

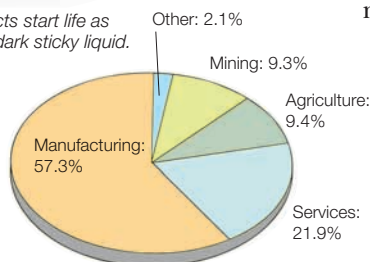
Without oil, the world would grind to a halt. Industry and transportation would stop. This is why oil is the most important product traded in the world today. Oil is produced and exported by a few countries, mostly in the Middle East, north and west Africa, and Central and South America. Because oil is not a renewable source of energy, and its use causes a lot of pollution, alternative sources of energy are being developed.



All oil products start life as crude oil, a dark sticky liquid.

## WHAT IS TRADED

World trade is dominated by manufactured goods, which include cars, televisions, and computers. Most of these products are made by rich countries. Poorer countries generally produce food and raw materials, known as primary products. This means that rich countries are growing richer, because bigger profits are made by exporting expensive manufactured goods than by exporting cheaper primary products.

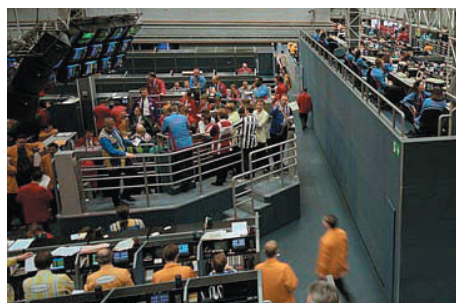


Figures show percentage of types of product traded worldwide



## INVISIBLE EXPORTS

In addition to goods, companies may also trade internationally in services. This trade is often referred to as "invisible exports." These exports cover a wide range of services and can include anything from banking and insurance to tourism and advertising. France (pictured above), for example, is the world's most popular tourist destination, while the United Kingdom is one of the world's most important financial centers.



## FINANCIAL EXCHANGES

When money, stocks and shares, and other financial assets are traded, this is called a financial market. Stock exchanges are the best known type of financial market – here people buy and sell shares in companies. For example, if you own 500 shares in a firm that has issued 5 million shares, you would own a 1,000th part of the company. Share prices can go up and down. The futures market, such as the London International Financial Futures and Options Exchange (above), is a financial market where dealers speculate on what the price of stocks, shares, and commodities will be in the future.

## TRADE DEPENDENCY

Some countries rely almost entirely on one product to sell abroad. For example, many smaller countries in Central America and the Caribbean depend on bananas for a large percentage of their income. This dependency on one product can leave a country at the mercy of events beyond its control. If the price of a commodity rises around the world, the country will benefit, but if the price drops, or a natural disaster such as a hurricane destroys the harvest, the country can be plunged into economic hardship.



Workers sort and pack bananas ready for distribution.

## CHILD LABOR

In many countries in the developing world, children are forced to work, often for very little money. It is estimated that in some countries up to 20 percent of children who are forced to work are under the age of 10. In Pakistan, for example, it is estimated that there are over 11 million children working in the country's factories, including 1 million working in the carpet weaving industry, such as these boys in Lahore, Punjab. Children are usually employed because factory owners do not have to pay them much money and sometimes because their fingers are more dextrous than those of an adult.



Child labor is still very common in the economies of many poorer countries.